08.07.2026

NBR Board decisions on monetary policy

In its meeting of 8 July 2026, the Board of the National Bank of Romania decided the following:

to keep the monetary policy rate at 6.50 percent per annum;
to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum;
to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

The 12-month inflation rate continued to pick up during the first two months of 2026 Q2, climbing to 10.85 percent in May from 9.87 percent in March. The advance was driven mainly by the significant increases, over this period, in the dynamics of natural gas, fuel and administered prices, under the impact of base effects and the rise in oil prices, as well as following a notable hike in rents for state-owned housing.

At the same time, the annual adjusted CORE2 inflation rate saw a halt in the slow downward trend it had embarked on at the onset of 2026, rising mildly in both months to reach 8.5 percent in May 2026 from 8.2 percent in March. Behind this stood the influences from the indirect effects of costlier fuels and from the increases in the EUR/RON exchange and in the dynamics of some import prices, also amid high short-term inflation expectations.

The annual inflation rate calculated based on the Harmonised Index of Consumer Prices (HICP – inflation indicator for EU Member States) rose to 9.7 percent in May 2026 from 9.0 percent in March 2026. The average annual CPI inflation rate went up to 9.4 percent in May 2026 from 8.5 percent in March 2026, while the average annual HICP inflation rate increased to 8.4 percent in May 2026 from 7.6 percent in March 2026.

Economic activity stalled in 2026 Q1, after contracting by 1.9 percent in 2025 Q4 (quarterly change), which makes it likely for the aggregate demand deficit to widen moderately over this period, in line with expectations.

In 2026 Q1, economic activity decreased by 1.2 percent versus the same year-ago period, after a 0.2 percent advance in 2025 Q4, given that household consumption posted a stronger decline, in annual terms, in the first three months of 2026, while gross fixed capital formation growth slowed down, albeit remaining robust.

At the same time, net exports had a lower expansionary effect in 2026 Q1, due to the narrowing of the positive differential between the annual dynamics of exports of goods and services and those of imports, in terms of volume, as both decreased against the previous quarter. Consequently, over this period, the trade deficit reported a lower contraction in annual terms, whereas the current account deficit saw a faster year-on-year decline amid the improvement in the evolution of income balances.

The latest data and analyses point to a slight recovery of economic activity in 2026 Q2 compared to the previous quarter, associated with a pick-up in its annual dynamics amid mixed developments across the aggregate demand components and major sectors.

Thus, retail sales saw a slower decline in annual terms in April-May 2026 and the growth of motor vehicles and motorcycles sales regained slight momentum in the first month of Q2, whereas the volume of services to households posted a stronger fall. Moreover, the annual dynamics of the volume of construction works witnessed a large jump in April, while industrial output recorded a mildly larger contraction versus the same year-ago period. The annual change of exports of goods and services saw its positive differential versus that of imports narrow marginally in April 2026, recording a relatively more modest rise versus 2026 Q1, so that the trade and current account deficits decreased year on year at a slower pace over this period.

The number of employees economy-wide continued to shrink in April 2026, albeit more softly than in the previous three months, while the ILO unemployment rate remained almost unchanged April through May overall, after rising to an average of 6.4 percent in 2026 Q1. In turn, the annual growth rate of nominal gross wage and that of unit labour costs in industry recorded a visibly slower downward trend in April than in 2026 Q1, yet amid low levels from a historical perspective. However, employment intentions over the very short horizon declined significantly faster in 2026 Q2 overall, whereas the labour shortage reported by companies continued to drop, as indicated by the latest surveys.

The main interbank money market rates followed a quasi-linear path in the second half of 2026 Q2 as well, whereas medium- and long-term yields on government securities extended their downward adjustment, at a slow pace however and on a winding course, in the context of the Middle East conflict, but also amid the domestic political situation and the associated uncertainties. Under the same circumstances, the EUR/RON exchange rate largely reversed its downward correction seen in mid-2026 Q2 and then stuck to the new readings, only slightly below the values it had climbed to in the early days of May. Moreover, the USD/RON stayed on the generally upward path it had re-embarked on in the latter half of April, given the steepening of the US currency’s appreciation trend on international financial markets in mid-May.

The annual pace of increase of credit to the private sector witnessed new mild increases in the first two months of 2026 Q2, to 7.7 percent in May from 7.1 percent in March, as the loss of momentum for the leu-denominated component was visibly outweighed in terms of impact by the further sustained pick-up in the dynamics of foreign currency credit – on the back of developments in loans to non-financial corporations –, as well as by the statistical effect of the movements in the leu’s exchange rate. The share of the domestic currency component in credit to the private sector thus continued to narrow, reaching 66.9 percent in May from 67.8 percent in March 2026.

According to current assessments, the annual inflation rate is seen shrinking slightly in June, before posting a substantial decline in 2026 Q3, as previously anticipated, amid the fade-out of the direct effects from the removal of the electricity price cap and the increases in VAT rates and excise duties.

At the same time, increasingly obvious underlying disinflationary pressures are expected over the longer horizon, primarily from aggregate demand, amid the budget correction initiated in 2025 and continued in 2026 – with favourable implications for inflation expectations as well –, conducive to the further adjustment of the current account deficit.

Elevated uncertainties are nevertheless still associated, also in the current domestic political situation, with potential future measures to continue budget consolidation beyond this year in line with the National Medium-Term Fiscal-Structural Plan agreed with the European Commission and with the excessive deficit procedure.

High uncertainties and risks to the outlook for economic activity, implicitly the medium-term inflation developments, arise also from the Middle East conflict and the global energy shock, via the effects they may exert, through several channels, on consumer purchasing power and confidence, as well as on firms’ activity and profits, inter alia by affecting the dynamics of economies and inflation in Europe/worldwide and the risk perception towards the region, with an impact on financing costs.

At this juncture, the absorption and use to the maximum of EU funds, especially those under the NRRP, are essential for partly counterbalancing the contractionary effects of budget consolidation and of the Middle East conflict, as well as for carrying out the necessary structural reforms, energy transition included.

The ECB’s and the Fed’s monetary policy decisions, as well as the stance of central banks in the region, are also relevant.

Based on the currently available data and assessments, as well as in light of the very high uncertainties, the NBR Board decided in the meeting held today, 8 July 2026, to keep the monetary policy rate at 6.50 percent per annum. Moreover, it decided to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum. Furthermore, the NBR Board decided to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

The NBR Board decisions aim to ensure and maintain price stability over the medium term, in a manner conducive to achieving sustainable economic growth. The NBR Board reiterates that, at the current juncture, the balanced macroeconomic policy mix and the implementation of structural reforms, also by using EU funds to foster the growth potential over the long term, are of the essence for a stable macroeconomic framework and for strengthening the capacity of the Romanian economy to withstand adverse developments.

The NBR closely monitors developments in the domestic and international environment and stands ready to use the tools at its disposal in order to achieve the fundamental objective regarding medium-term price stability, while safeguarding financial stability.

The account (minutes) of discussions underlying the adoption of the monetary policy decision during today’s meeting will be posted on the NBR’s website on 20 July 2026 at 3:00 p.m.

The next monetary policy meeting of the NBR Board will be held on 10 August 2026.

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